

Time:	8 minutes
Current Score:	20 out of 20
Kept Score:	20 out of 20

Correct!

☐ Interest $\times$ Time

☒ Σ (Weight $\times$ Cost)

☐ Cost $\times$ Tax

That's correct!

Question 4 1 / 1 pts

Cost of capital is used for:

Correct!

☒ Capital budgeting decisions

☐ Tax filing

☐ Salary calculation

☐ Inventory management

That's correct!

Question 5 1 / 1 pts

Optimal capital structure is achieved when:

Correct!

☐ Equity is zero

☐ Debt is zero

☐ Profit is maximum only

☒ WACC is minimum

That's correct!

Question 6 1 / 1 pts

Preference dividend is:

Correct!

☐ Treated as liability

☒ Not tax deductible

☐ Optional expense

☐ Tax deductible

That's correct!

Question 7 1 / 1 pts

Redeemable debentures consider:

Correct!

☐ Only interest

☐ Only redemption value

☐ Dividend only

☒ Interest and redemption value

That's correct!

Question 8 1 / 1 pts

If corporate tax rate increases, after-tax cost of debt:

☐ Doubles

☐ Remains same

☐ Increases

☒ Decreases

Correct!

That's correct!

Question 9 1 / 1 pts

WACC weights are based on:

☒ Book value or Market value

☐ Only book value

☐ Only face value

☐ Sales value

Correct!

That's correct!

Question 10 1 / 1 pts

Market value weights are preferred because:

☐ They ignore risk

☐ They reduce tax

☐ They are easy

☒ They reflect current investor expectations

Correct!

That's correct!

Question 11 1 / 1 pts

Retained earnings cost is generally:

☐ Zero

☐ Negative

☒ Equal to cost of equity

☐ Less than debt

Correct!

That's correct!

Question 12 1 / 1 pts

In CAPM, cost of equity is:

☐ $R_f - \beta$

☒ $R_f + \beta(R_m - R_f)$

☐ $R_m + R_f$

☐ β / R_f

Correct!

That's correct!

Question 13 1 / 1 pts

If debt proportion increases (with tax adjustment), WACC may:

If debt proportion increases (with tax advantage), WACC may:

Correct!

- ☒ Decrease initially
- ☐ Increase always
- ☐ Become zero
- ☐ Remain same

That's correct!

Question 14

1 / 1 pts

Cost of irredeemable debentures is:

- ☐ $1 / r$
- ☐ Dividend / Net proceeds
- ☐ EPS / Market price
- ☒ Interest / Net proceeds

Correct!

That's correct!

Question 15

1 / 1 pts

Weighted Average Cost of Capital (WACC) is:

- ☐ Administrative cost
- ☐ Cost of debt only
- ☒ Weighted average of all capital components
- ☐ Cost of equity only

Correct!

That's correct!

Question 16

1 / 1 pts

Cost of equity can be calculated using:

- ☐ CAPM
- ☐ Dividend Discount Model
- ☒ All of the above
- ☐ Earnings price ratio

Correct!

That's correct!

Question 17

1 / 1 pts

The cost of capital is also called:

- ☐ Discount rate
- ☒ All of the above
- ☐ Required rate of return
- ☐ Hurdle rate

Correct!

That's correct!

Question 18

1 / 1 pts

Beta (β) measures:

- ☐ Profit
- ☒ Systematic risk
- ☐ Tax
- ☐ Dividend

That's correct!

Question 19

1 / 1 pts

After-tax cost of debt is calculated as:

- ☐ K_d
- ☐ K_d / t
- ☒ $K_d (1 - t)$
- ☐ $K_d + t$

That's correct!

Question 20

1 / 1 pts

Dividend Growth Model formula is:

- ☒ $K_e = D_1/P_0 + g$
- ☐ $K_e = r(1 - t)$
- ☐ $K_e = D/P$
- ☐ $K_e = \text{EPS} / \text{Price}$

That's correct!

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